Microsoft Corp.

On the Ground in Wisconsin – Microsoft's Fairwater AI Data Centers and the Impact on Azure Growth

Summary

One of the key near-term catalysts for Microsoft Azure growth is the continued ramp of the big Fairwater AI data centers in both Atlanta (which went live in October) and Wisconsin (going live in 1Q26). In this 25-page report, we examine the Fairwater Wisconsin build-out progress, drawing from a visit to the Wisconsin site in mid-Dec by Dean Marriott on the UBS Software coverage team. Bottom line, we're raising our Azure growth estimate for them ahead of Microsoft's 2Q/Dec print on Jan 28. We're hosting an investor recap call on Fri Jan 23 at 8:30am ET.

What We Learned

Importantly, we did NOT pick up evidence of material go-live delays and all partners confirmed that Fairwater Wisconsin would begin going live in early 2026. Although estimates varied, the consensus was to bring the data center online in 50 MW chunks, with 100 MW by the end of Feb, 200 MW by the end of March and 400 MW by the end of June, and 500 MW by the middle of the summer. The consensus was that Phase 1 would be complete/fully-ramped (to about 1 GW) by the end of 2026. Our checks were even more constructive on the ramp of Fairwater Atlanta, which could have reached a capacity of 200 MW by year-end 2025.

Our Azure Growth Estimates

Bottom line, our work led us to the conclusion that our Azure growth estimates established post the 1Q/Sept print are too conservative, and for the 4Q/Jun 2026 quarter, we're raising our c/c Azure growth estimate from 35% to 37%. Given the magnitude of GPU capacity coming on-line throughout 2026, we also conclude that Street capex estimates for FY27 are likely biased up.

Valuation:

Microsoft shares trade at CY26E multiples of 38x FCF, 25x GAAP EPS and 22x non-GAAP EPS, in our view very reasonable multiples relative to peers, given 20%+ non-GAAP EPS growth and the potential for Azure growth estimates to move higher. We remain Buy-rated but given the evident de-rating across the software sector, we're trimming our PT from $650 to $600, based on an assumed CY27E FCF multiple of 47x (from 50x), a deserved premium to the peer group.

Equities

United States
Software

12-month rating	**Buy**
12m price target	**US$600.00**
	Prior : US$650.00
Price (22 Jan 2026)	**US$450.77**

RIC: MSFT.O **BBG:** MSFT US

Trading data and key metrics

52-wk range	US$542.07-354.56
Market cap.	US$3,365b
Shares o/s	7,466m (COM)
Free float	90%
Avg. daily volume ('000)	24,461
Avg. daily value (m)	US$11,965.5
Common s/h equity (06/26E)	US$467b
P/BV (06/26E)	7.1x
Net debt to EBITDA (06/26E)	NM

EPS (UBS, diluted) (USD)

	06/26E			
	From	To	% ch	Cons.
Q1	4.13	4.13	0	4.13
Q2E	4.12	4.12	0	3.96
Q3E	4.14	4.15	0	4.01
Q4E	4.41	4.42	0	4.29
06/26E	16.79	16.81	0	16.42
06/27E	19.20	19.32	1	18.76
06/28E	21.88	22.13	1	22.13

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Highlights (US$m)	06/23	06/24	06/25	06/26E	06/27E	06/28E	06/29E	06/30E
Revenues	211,915	245,122	281,724	331,031	385,564	446,089	507,449	565,626
EBIT (UBS)	89,694	109,433	128,528	154,319	177,015	202,034	227,514	251,613
Net earnings (UBS)	73,307	88,136	105,427	125,319	143,435	163,661	184,258	203,741
EPS (UBS, diluted) (US$)	9.81	11.80	14.12	16.81	19.32	22.13	25.02	27.77
DPS (net) (US$)	2.71	2.98	3.28	3.61	3.97	4.37	4.80	5.28
Net (debt) / cash	64,025	23,913	51,414	70,706	79,517	80,215	76,661	72,125

Profitability/valuation	06/23	06/24	06/25	06/26E	06/27E	06/28E	06/29E	06/30E
EBIT (UBS) margin %	42.3	44.6	45.6	46.6	45.9	45.3	44.8	44.5
ROIC (EBIT) %	75.7	60.4	50.7	46.8	38.7	32.5	27.9	24.4
EV/EBITDA (UBS core) x	18.6	20.8	18.9	16.7	14.1	11.6	10.0	8.7
P/E (UBS, diluted) x	27.3	32.0	30.0	26.4	23.0	20.1	17.8	16.0
Equity FCF (UBS) yield %	3.0	2.6	2.3	2.5	2.7	3.0	3.3	3.7
Dividend yield (net) %	1.0	0.8	0.8	0.8	0.9	1.0	1.1	1.2

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 450.77 on 22-Jan-2026 16:35:32 EST

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Background on Project Fairwater

Before getting into the details about Microsoft's Fairwater data center capacity ramp, let's first put this project in perspective.

Our Shift to More Supply-Side Research

To date our research process on the cloud infrastructure market, namely Amazon Web Services (AWS), Microsoft Azure and Google Cloud but more recently Oracle Cloud Infrastructure (OCI) and CoreWeave, has had a decidedly demand-focused bias. Each quarter for 5+ years now, we've published our Cloud Infra Preview report (see here for our latest from earlier this week, ahead of the 4Q25 prints from Amazon, Microsoft and Google), the basis of which is typically 15-30 conversations throughout the quarter with large AWS, Azure and Google Cloud customers and partners, helping us to assess cloud infra spending trends and (hopefully) make sharper calls on the near-term AWS, Azure and Google Cloud results and flag interesting emerging trends to investors.

It is very clear to us and investors that given persistent data center supply constraints, this demand-side research needs to be supplemented by more supply-side work. On its 1Q/Sept earnings call in late-Oct, Microsoft's Azure segment posted 39% c/c revs growth with guidance for a 2-point decel to 37% growth in 2Q/Dec. On the call, Microsoft said that "we now expect to be capacity constrained through at least the end of our fiscal year" and Microsoft referred to its 2Q/Dec Azure guidance as being a "supply guide", heavily impacted by the timing of capacity go-lives. Microsoft has a large footprint of AI data centers under construction, but the big "Fairwater" build-outs in Wisconsin and Atlanta are central to the near-term revenue growth story for Azure. Unpacking the timing and magnitude of the revenue unlock for Azure from the Fairwater go-lives was the central aim of this project.

Out of the Office, On the Ground

Monitoring press reports on ramp timeframes and delays as well as procuring satellite images of the sites are important. Where there is an opportunity to learn more, much more, and to be more helpful to our investor clients is to also form a dialogue with the main data center contractors (which we've been doing throughout 2025) and to get out of the office to physically visit these (typically remote) data center building sites. We embed ourselves in the local community, speak to on-site construction staff, visit the local county offices to go through all the data center permits and even chat up hotel workers. For this report on Microsoft's massive Fairwater project and the site in Wisconsin, Dean Marriott on the UBS Software team visited the Village of Mount Pleasant, battling the winter cold, speaking with local construction workers and even having Wisconsin's famous Spotted Cow with one of the head chefs for the Fairwater site. This is similar to the work that we did in our two previous "On the Ground" series of reports, as noted below:

- May 29, 2025: **On the Ground in Abilene** – Oracle, OpenAI, Nvidia, Crusoe and the Ramp of the First Big GPU Clusters
- Jan 7, 2026: **On the Ground in Indiana** – Project Rainier and the Impact on AWS, Anthropic and Trainium Chip Adoption

Project Fairwater Overview

On its recent 1Q/Sept earnings call, Microsoft said that "we will increase our total AI capacity by 80% this year (presumably referring to FY26 ended June) and roughly double our total data center footprint over the next two years. Just this quarter, we announced the world's most powerful AI data center, Fairwater in Wisconsin which will go on-line next year and scale to 2 GW alone". Before we discuss what we learned on the ground, let's first provide an overview of Project Fairwater, the history of the site in Mount Pleasant and the construction timeline to date. Microsoft announced Fairwater 1 in Wisconsin in a blog post back in mid-September, and then shortly after in mid-November, Microsoft showcased Fairwater 2 in Atlanta (see video here), which began operations in October and shares a very similar architecture and design to Fairwater 1.

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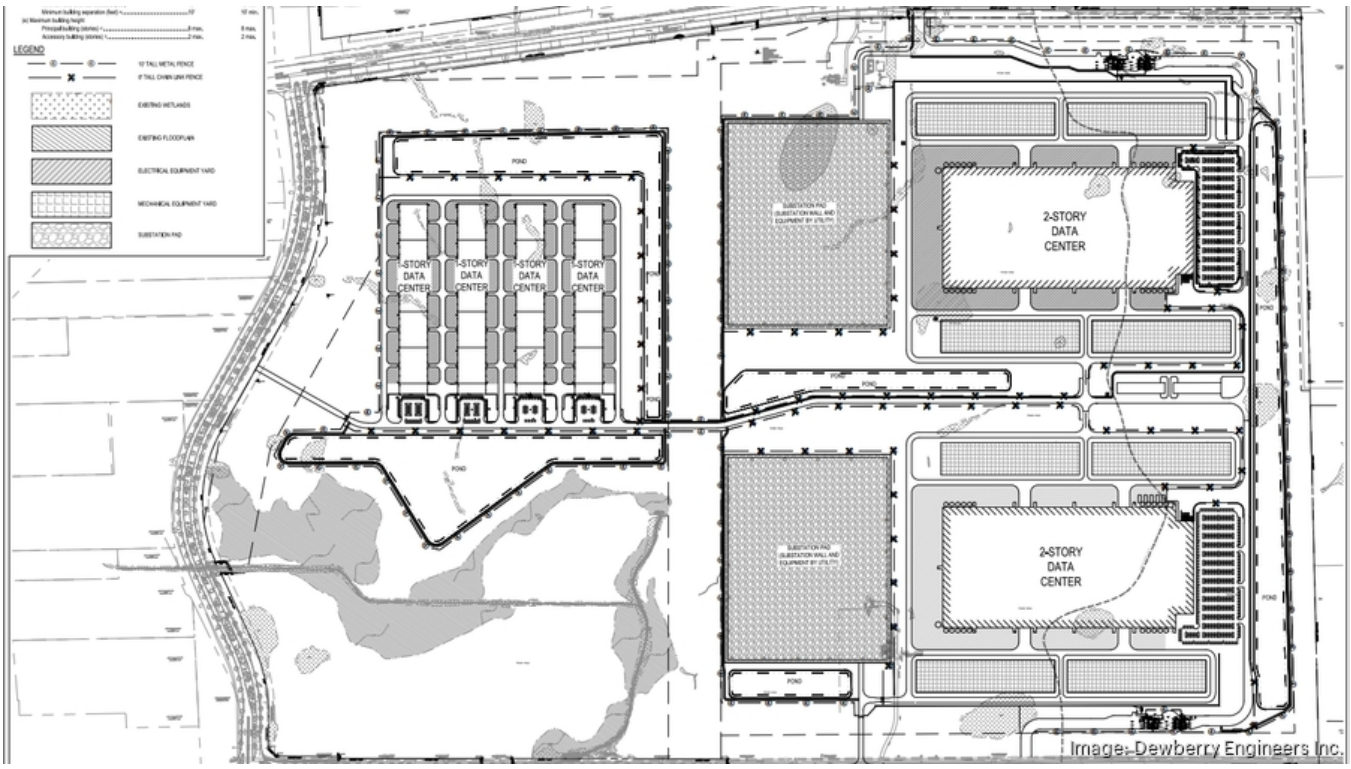
Fairwater Design

Akin to how Amazon is building out a series of connected "Rainier" data center sites, Microsoft is building regional supercomputers in Mount Pleasant and Atlanta (the location of both Fairwater 2 and Fairwater 4) instead of singular mega-factories. These regional datacenters are connected through an AI wide area network (WAN), which enables large-scale distributed training across multiple regions. In what appears to be a unique twist, Microsoft designed two-story data center configurations to lower the physical distance between racks and reduce latency.

Fairwater 1 in Mount Pleasant, Wisconsin consists of three buildings spanning 1.2 million square feet, including a 2-story GPU-dense data center building, a 1-story data center and the second largest water-cooled chiller plant on Earth. Microsoft hasn't discussed the scale of the first data center at capacity besides the 2 GW comment noted above, but Microsoft has said that the Wisconsin site is "the largest AI factory we've built yet". Local media outlets have reported that the maximum electricity needed for the Phase 1 opening is 400 MW (our checks have said it's even higher). While those are the specifications for Fairwater 1, checks also told us that Microsoft has plans for 3- and 4-story GPU datacenters (more on this later), which could add even more capacity per building in future phases. In addition, local media reported in August 2024 that Microsoft submitted site plans for its Phase 3 datacenter campus in Mount Pleasant, which feature two 2-story datacenters (likely GPU-dense) and a third 1-story datacenter.

In terms of the chips, Microsoft has said that Fairwater 1 will contain "hundreds of thousands" of Nvidia Blackwell GPUs, and Microsoft has shared that Atlanta's Fairwater 2 supports ~140kW per GPU rack. What's important to highlight is that Fairwater will not just feature massive clusters of interconnected Nvidia GB200 and GB300s, but Microsoft and Nvidia also announced at CES 2026 that Fairwater will include the new Vera Rubin chips and that the Azure rack architecture has already been designed to support them, reducing friction during implementation. The Fairwater campuses appear to be Nvidia-centric and we haven't picked up any evidence yet that they will deploy Microsoft's 1P chip, Maia.

Figure 1: Phase 3 Site Proposal



Source: Milwaukee Business Journal, Dewberry Engineers Inc., Village of Mount Pleasant

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History of the Mount Pleasant Site

Fairwater 1 is built on land in Mount Pleasant's Tax Incremental District (TID) #5, which features approximately 3,900 acres of Business Park zoned land. Most of the land was originally meant for Foxconn; in 2018 the company accepted a proposal to build a massive LCD manufacturing hub in Mount Pleasant, committing over $10 billion in investment for the project that would ultimately create 13,000 jobs. But this never materialized, as Foxconn dramatically scaled back its commitment multiple times over the years and only ended up building a single multipurpose building in the district.

Microsoft entered the picture in 2023, when the company agreed to buy a 315-acre parcel of land in April 2023 for $50 million, committing $1 billion to build the first data center. This land was originally meant for Foxconn's manufacturing plant, which may partly explain why Microsoft has not faced the same pushback from the local community as other hyperscalers have (including Amazon at its Raineir Indiana site), including Microsoft themselves at a site just over 5 miles north in Caledonia, Wisconsin (also in Racine County, see here). Since the initial purchase in early 2023, Microsoft has acquired more land and increased its investment in Mount Pleasant several times, with the company now owning over 2,000 acres in the area and planning a total investment of more than $7 billion (already completed $3.3 billion of that commitment).

Construction Timeline

With that as background, let's take a look at what has been publicly disclosed by Microsoft and local media about the timeline of the Fairwater project in Wisconsin.

- **March 2023:** Microsoft announces the agreement to purchase the initial 315 acres for a $1 billion datacenter campus.
- **July 2023:** Phase 1 construction permits are received, allowing site preparation and grading to start. Initial timeline was a) site preparation to be complete by Fall 2023, b) building development to occur from Fall 2023 – Fall 2026, which includes foundation work, steel erection for buildings, equipment testing, and power project completion and c) completion and operational by late 2026.
- **September 2023:** Walsh construction group breaks ground and begins phase 1 site work.
- **November 2023:** Walsh begins foundation work and starts installing steel piling a month later. Microsoft also announces plans to expand the footprint by purchasing an additional 1,000+ acres, closing on the land purchases in December 2023.
- **July 2024:** Walsh conducts exploratory test piles for phase 2 site.
- **September 2024:** Walsh starts site preparation work for phase 2.
- **January 2025:** Wisconsin media reports that Microsoft pauses early construction on phase 2 to "evaluate scope and recent changes in technology" which they anticipated "will last months." The Village of Mount Pleasant says it's to "incorporate new data center designs" and shares that the company is "years ahead of schedule in satisfying its financial commitments to the Village" despite the pause.
- **March 2025:** Local media reports that Microsoft paused phase 2 site work again in March shortly after restarting.
- **July 2025:** The Racine County Eye reports that construction continues on the campus after the pause.
- **September 2025:** Microsoft announces the first Fairwater datacenter in Wisconsin, sharing that it's entering the final construction phases and is expected to come online in early 2026. Microsoft also announces an additional $4 billion investment for the second datacenter, which local media reports is expected by the end of 2028.
- **November 2025:** Microsoft starts phase 2 site expansion activities, including foundation installation, steel erection, and underground utilities.

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Training and Inference Workloads

Microsoft has not been explicit about the workload type for the Atlanta and Wisconsin sites, but the company has signaled that the capacity in Atlanta was initially for inference and then was to quickly shift to training workloads. Across both sites, it seems pretty clear to us that they will both have a heavy (at least initial) focus on training workloads, as the excerpts from Microsoft leadership below suggest. This is consistent with our view (see below) that the Fairwater capacity in Atlanta has already been utilized by OpenAI for a large-scale training run. To be clear, the comments below relate to the Fairwater Atlanta site, but they were discussing the Fairwater project as a whole. The CEO was clear that the Fairwater capacity can absolutely be used for inference down the road. Indeed, Microsoft's decision to build the Fairwater datacenters in Mount Pleasant (a 30 minute drive from Milwaukee and 45 minutes from Chicago) and Atlanta would suggest that it will be used for both given the criticality of low latency to inference workloads.

- **Scott Guthrie, Podcast:** *We've tried to 10x the training capacity every 18 to 24 months, so this would be effectively a 10x increase from what GPT-5 was trained with. So to put this in perspective in the number of optics, the network optics in this building is almost as much as all of Azure across all our datacenters two and a half years ago.*
- **Satya Nadella, Podcast:** *The goal is to be able to aggregate these FLOPS for a large training job and then put these things together across sites. The reality is you'll use it for training and then you'll use it for data gen, you'll use it for inference in all sorts of ways. It's not like it's going to be used for only one workload together. …it's kind of build for, essentially, the training jobs, the super pods across this campus.*
- **Satya Nadella, F1Q26 Earnings Call (October 2025):** *We have deployed the world's first large scale cluster of NVIDIA GB300s. We are building a fungible fleet that's being continuously modernized and spans all stages of the AI lifecycle, from pre-training to post-training, to synthetic data generation and inference, and it also goes beyond GenAI workloads to recommendation engines, databases, and streaming. We are optimizing this fleet across silicon, systems and software to maximize performance and efficiency. It's this combination of fungibility and continuous optimization that allows us to deliver the best ROI and TCO for us and our customers.*

Is OpenAI the Only Tenant?

Microsoft leadership has highlighted OpenAI in its discussions of the Fairwater data centers to date, including the quote above referencing how Fairwater would be a 10x capacity increase relative to what OpenAI's GPT-5 was trained on. Most recently Azure head Scott Guthrie said on The Neuron podcast in November that "*[Fairwater is] real production now. OpenAI is using it for a bunch of workloads already*." That said, we don't know for certain that Fairwater capacity is dedicated entirely to OpenAI, and it's possible that once ramped, Microsoft could use Fairwater to a) train its own first party models, b) run inference workloads for Copilot and its other AI products and/or c) run other customer AI workloads. While Microsoft is clearly messaging that OpenAI is the anchor tenant, and we're assuming that essentially 100% of the capacity is for OpenAI today, we pressed our checks on if there were more, and we heard:

- **Partner 1:** *One would think that Microsoft would run their own workloads there. OpenAI is not the only horse.*
- **Partner 2:** *OpenAI is not the only tenant. There will be multiple tenants for sure. I can say that OpenAI is one and then a Fortune 100 tech company. Microsoft has a lot of capacity dedicated to their own workloads, and I'd say 20-25% of the capacity is for themselves.*

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What We Learned in Mount Pleasant

With that as background, let's now turn to our independent research. In mid-December 2025, Dean Marriott on the UBS Software research team spent 3 days in Mount Pleasant, driving around the data center campus to evaluate construction progress, monitoring truck activity in and out of the site, reviewing construction permits at the town hall (while battling the elements, see below), enjoying pastries at Racine County's O&H Danish Bakery and chatting up workers at the local watering holes. We'll discuss what we learned on the ground and some of the key details relevant for tech investors.

Figure 2: Dean Marriott on the UBS Software Team Visiting the Local County Office



Source: UBS

Key Fairwater Contractors

Microsoft selected Walsh, Kiewit and Boldt to be the lead contractors for the first campus, using multiple GCs to spread out the risk (Amazon did the same for their Rainier Indiana site). All seemed to be involved in the construction project, but it became clear to us during our site visit that Walsh was the main contractor. Walsh signs were everywhere across the site and plastered on all key entrances, making it hard to miss. Moreover, Microsoft's own project updates (see here) feature Walsh many times, with Kiewit only being mentioned as the general contractor overseeing site preparation.

One of the helpful parts of our visit is not only being able to get a sense of the lead GCs, but to also identify other contractors associated with the project. To do this we sat outside of the main Fairwater 1 entrance for several hours, tracking which trucks went in and out of the site. Below in Figure 3 we list out the various trucks that we saw, and the standalone publicly traded companies include:

- Schneider Electric (SCHN.PA) covered by Andre Kukhin
- United Rentals (URI) covered by Steven Fisher
- XPO Logistics (XPO) covered by Thomas Wadewitz

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Figure 3: Suppliers Going To/From the Site

Fairwater 1 Truck Monitoring	
AMS Mechanical	On Target Construction
APS Systems	Point Ready Mix
American Transmission Company	Quicksilver
Boldt	Scheck Industries
Brieser Construction	Schmitz Construction
CD Smith	Schneider Electric
ECS	Sierra
Estes Express Lines	Stark Construction
Grant & Power	Summit Construction
Lee Mechanical	Tax Air Freight
Meade Electric	Trane
MG Express	United Rentals
MKE Contracting	Van Ert
MP Systems	XPO Logistics
Northern Mechanical	

Source: UBS

Construction Progress – Phase 1

As we show in Figure 4 below, we used the UBS Evidence Lab team to take a satellite image of the first Mount Pleasant site on January 4th, which shows the main buildings as complete. This is consistent with what we saw on the ground; there was no construction activity on the outside of the data center, and there also was no heavy machinery on the site at all. We concluded that all of the work left was on the inside of the data center, and our checks confirmed this, highlighting that the only steps left to bringing the first data center online was deploying, commissioning and activating the GPU racks.

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Figure 4: UBS Evidence Lab - January 2026 Images



Source: UBS Evidence Lab

Figure 5: UBS On-Site Photos



Source: UBS

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Construction Progress – Phase 2

Phase 2 is much earlier of course, and there was a ton of activity when we were on site. Microsoft shared that starting on November 1st, Walsh would focus on site expansion activities, which included foundation installation, steel erection and underground utilities. Indeed, our own checks on the ground confirm that Walsh and the other contractors have already started standing up the steel beams for the first building.

Figure 6: UBS On-Site Photo - Phase 2



Source: UBS

What Contractors and Workers Told Us

Let's now turn to our conversations with GC partners and workers we spoke to in Mount Pleasant.

Partner 1

- *Everybody has been saying it's a $3.3 billion investment, and I believe that they'll get there. There's no doubt in my mind that they can and that they're going to scale. But sometimes people get confused a little bit when I tell them "look, no, we're not bringing Fairwater online full capacity day one." We don't do any datacenter that way, especially new ones that have bugs in them and things of that nature. I know that project very well, including the power plant, and I can speak in pretty good confidence that it is going to scale.*
- *The first 100 megawatts was no issue, and obviously, it's going to be a phased approach. Anything is possible regarding delays, but I would tell you it's full speed ahead right now with no slowdown in sight. I think they'll continue to bring it on in chunks, but can it scale to a GW? Yes, it can.*
- *The datacenter is on 315 acres, and the 3 buildings total at about 1 million or 1.2 million square feet. What I'll tell you is we're hearing that they're going to go vertical. They have 2-story and 3-story designs, and I would not be surprised to see at least a 2-story, if not the 3-story to appear there. I would not be surprised to see an additional 100 MW on that third floor. This is a part that gets you to the 400 MW.*
- *There's not a ton of difference between Fairwater and Rainier. These are AI super factories, so when you start talking about the infrastructure, the power, fiber, these things are well thought out. If you look at how we build these buildings, they're either tilt wall or precast. You're either going with a liquid cooled solution*

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or an air cooled. I think what you're seeing with these factories, it's direct chip cooling all the way. The ability for them to scale up with the direct chip cooling in the datacenters would be a differentiator, but I wouldn't say there's anything tremendously different.

- *One other differentiator for Fairwater was they had a lot of very positive political support up there. They wanted the project. There are some like in Indiana with Project Rainier, I think you heard what happened down there. They got themselves in trouble. They got into those wet lands. Well, you didn't have that in Wisconsin. Some of these markets that we're headed to with Rainier, you're going to have opposition. The public opposition on datacenters has changed, and that's what really can hurt you.*
- *Walsh, Kiewit, and Boldt are all involved. The way that Microsoft likes to structure these things is they don't ever put all their eggs in one basket. That's why you see in all the new ones, especially the supercomputing ones, you're going to see multiple GCs in there. The plan is to always have the lead, but we see them handing out different scopes. It just depends on how Microsoft sets it up because all of those guys hold MSAs and construction projects. You never go into a project like that with a 1 or 2-trick pony because you're going to get just what you have. So I think they wanted to spread the risk is the short version.*
- *There have been some changes in Wisconsin, and you're going to see some changes for the next datacenters planned for construction. You're going to see new GCs, and you'll probably even see some new electrical engineering. The same guys that built the ones in Wisconsin are most likely not going to build the other ones. I'm speaking about both the next projects in Wisconsin and the ones outside the state. When you don't meet schedules or you have cost overruns in a max contract environment, that's a problem. Hyperscalers, especially Microsoft, are unforgetting. There are going to be some changes based on performance.*
- *Why are there going to be new GCs? There have been delays, and there were some challenges with the piles and foundation. The design changed inside the building, which is not that surprising when you look at these buildings. There was a lot of that. I've heard that there are several millions of dollars in unresolved change orders. When that happens, people tend to be replaced. That's also why Microsoft paused construction earlier this year on the other two sites. They didn't want the situation to happen again.*
- *Microsoft is going through integrated systems testing (IST) and commissioning now for Fairwater. Without getting too deep in the weeds, there are a couple of pieces of equipment that have been problematic. We can't just go to Home Depot and get them off the shelf. It doesn't work that way. I think there was some poor planning on a project of that size. I recommended to those guys, get 2 bonded warehouses and let's buy some additional switches, transformers, but they didn't want to lay out the money and now you pay for it.*
- *The IST is being run through its phases now. There are problems. If anybody tells you there are not, it's not true. It's nothing that I would say is catastrophic. That's why we do commissioning. That's why we turn the generators on. That's why we run them. I wouldn't say anything is crazy there. I just think we've built such a fast-paced building and stuff that it's got some bugs in it. Do I think it will be fully ready to rock and roll in January, February? Absolutely.*
- *This is the biggest go-live constraint right now, but they're going live. I've been in that building. I've walked that building several times, and they're going live. And I think what you're going to see is more speed and more efficiency on the next two builds. Unfortunately, in our business, there are always casualties. So that first team is going to suffer a few casualties, but the other buildings are going to reap the rewards because of the lessons learned.*
- *What we'll tend to do and what's going to happen out here is it's going to be in what they call 50 MW chunks. We'll go through our testing, we'll bring the low bank generators and we'll run our live loads testing, everything, get it through commissioning. And we're usually doing that in 1 or 2 hall settings. We'll energize the setting, bring it online. We've got a secure wall transition, get the bugs out of it, turn it over to security. Everything is online. Okay, great. Let's move to Data Hall 2, and we go through the same process, commissioning, testing. We get it to the point that we're ready to go live with customer load. We bring it online, do the camera checks, do everything, boom, we're ready for customer load. So it will go*

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in that staggered approach, and I'm pretty confident to say it's in 50-megawatt chunks.

- *Microsoft wants to have it fully online by the second half. Do I think they get there? I believe they can. I believe that as we get into quarters 2 and 3, it's really going to come down to do they have the manpower to get them commissioned and if we don't run into anything catastrophic. It's not uncommon to be cruising along, everything is going good, and then all of a sudden you blow a transformer. If you blow one of the 1,000 transformers, you can't get those off the shelf.*
- *Microsoft will probably be at 100 megawatts easily before the end of January. I would not be surprised to see 200 MW by the end of April. I can tell you, that's pretty darn realistic. So if you just do the rough math by the middle of summer, they're basically halfway there to a gigawatt.*
- *When we hand over the building and then comes the interior buildout, it takes 60 days for Microsoft to fill it up with equipment and start charging it out to end clients. They got it down cold. As soon as we turn it over, the trucks will back up to the dock. They're just going in one after another after another after another. With all the quick connects now, quick connect power, quick connect direct ship cooling, you literally can plug and play. To be clear, this is all for AI workloads, but there will also be CPU-based workloads on the site.*
- *As you see in Phase 2, the Fairwater design has changed. Well, the design has really changed in the first 2 buildings for Phase 1 too. They got way down the road, new cooling technology came out. The new chip cooling technology has got higher density racks, 100 kV, 200 kV. You'd be foolish to put in a single phase when we know everything is headed to a second phase.*
- *You've seen the announcement yesterday from Nvidia and Microsoft including Vera Rubins in Fairwater. Microsoft and all these guys make press releases about how their datacenter can support the cooling for these chips. I like to deal in reality. I know without stepping across the line, Microsoft is a very forward-thinking company. And when they know that something is going to make their datacenter obsolete or not first choice with the leaser, they are going to pivot. There's no doubt in my mind that's exactly what happened and that's what caused the delay earlier this year.*
- *The exterior of the first datacenter is done and all of the work is inside. I would tell you the majority of the GB200s and GB300s are on site. Just because they're on site doesn't mean it's all good though. You have to get them placed and go through commissioning, which is what they're doing now. For buildings 1 and 2, if you were asking me when they're fully online and taking load, I think you start to see them taking heavy load in February, March.*
- *The 100 MW will be online within two months. I have brought 100 MW online in a month before, but it may be foolish with this new equipment. These GB200 and GB300s are nice machines that are quality, and I think they'll be a real gamechanger. That's going to be the saving grace for Microsoft. They've spent the money with the right player. I think by the end of March you're safe to say that there will be 200 MW online and another 200 MW by the end of June.*
- *Some of the Vera Rubin chips have already shipped. There are pilots that I'm aware of, two soon to be three. They said they'd get them out in the first quarter, so they'll start to hit heavy as we get into the second quarter.*
- *You'd be foolish to not go with the new Rubin chips because you're going to be obsolete in no time otherwise. But initially in this year, if you were to ask me what the mix looks like in the building, I'd say 30% GB200s, 30% GB300s, then the rest is the Rubin chips. The GB200s and GB300s will come online in the earlier phases. If I were Microsoft, I'd do a few pilots and see how they run before spending $10-$20 million. That's what they're planning on doing.*
- *As you think about the 100 MW per floor, 80% of that will be dedicated to the GPUs and the rest for everything else in the building. If Microsoft does add the extra floors, you're talking about each building being capable of at least 300 and 400 MW. When you're building these kinds of big campuses, you'd be foolish to just pick up and go somewhere else. It all comes down to if you've got the power, you're in a great place. You've got the bugs out of your design. There's a reason they went vertical. I would not be surprised to see them add another 5 GW to that project on top of the 2 GW they've already talked about.*

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Partner 2

- *Fairwater 1 is 1.5 buildings really. It's not a full 2 data halls, but it's outside their normal scope and bigger than anticipated. It's not 400 MW yet, it's currently 275-280 MW. They will get that up and running and it will be dedicated to GPUs.*
- *There's some hardware that's getting caught in the supply chain. It's 30-60 days behind, but I've also seen through experience that the 30-60 days can turn into 6 months in the snap of a finger, literally. Transformers are causing the delay, and they're the biggest pain in the butt right now. Equinix is also having issues with transformers too.*
- *Microsoft is facing this transformer delay, but they have not changed the go-live date, which is still on track. That's good news, and it could not end up being that big of an issue if it's not extended beyond the 30-60 days.*
- *Fairwater can scale beyond the 400 MW because Microsoft discovered they can add more density and more power. They're projecting well over 1 GW at the end of the day when all is said and done, so we're talking about a massive campus. The original design and plan was for 500 MW, and it quickly scaled. One of the PMs over there told me that they wanted to reel it in at around 850 to 900 MW, but he anticipates that it will be well over 1 GW when it's all said and done. That's the whole campus on the 300+ acres.*
- *I'm not sure exactly how many data halls they're going to have at the end of the day, but knowing Microsoft and working with them since 2010, they love separating workloads. In one data hall you're going to have GPU AI dedicated workloads, and in another you're going to have gaming workloads, office workloads, etc. Everything is very siloed.*
- *Fairwater is going to have well over 100,000 GPUs. It's not going to be 200,000, but you're between 150,000 and 175,000. There are going to be thousands of racks, and 40-55% of the power will be dedicated to running the GPUs specifically.*
- *The Rubins are going to be monsters, and everything needs to be closed-loop liquid cooling. We cannot cool the Rubin racks or the Rubin chips with air cooling at all or even a hybrid. In the next 24 months immersion cooling will become a big thing, where the GPUs are actually being submerged in the liquid.*
- *I've seen that Microsoft has 3-story and 4-story datacenter designs, but I don't know if that's the reality. The only 4-story datacenters around are called Telco Hotels. That's because heat becomes an issue with this model. When you stack levels and go higher and higher, the heat rises and that causes problems. The thermal management around the DCIM software tool shows this being an issue. But hey if your PUE is humming along, keep stacking. You can do it.*
- *Depending on how aggressive Microsoft is phasing it in, I would say they're planning on a minimum of 50 MW per quarter. Maybe higher. That's the benchmark for new AI datacenters when they're phasing in. For standard cloud datacenters it's typically 20-30 MW per quarter. I'm not sure when it will finish, but assuming that there are no hiccups and everything goes smoothly, I'd say it could get to 1 GW by the end of the year.*
- *In my opinion it's likely that phase 2 in Fairwater Wisconsin gets delayed. There's no chance it's coming online in 2027 and it's looking like 2028. This is due to supply constraints.*

Partner 3

- *When I talked to one of the GCs on the site, they told me that they're a little behind schedule, but I don't know the details on the ramp and what that looks like. Remember, there's a huge commissioning phase in these things. It's not like you finish the construction, shake hands and then light the thing up.*
- *I've heard that it can scale up to 3 GW at full build-out. It's a beast of a facility. What I've been hearing is that the datacenter is a much heavier load on the grid at full build-out than what was represented during the entitlement and what's been out there.*
- *It's an extremely dense facility. It's unbelievably large. One of the larger projects in the country. Remember though you don't typically fill up the datacenter with GPUs right out of the gate, so a lot of times, it might be operating at even 20% of the*

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capacity of the building infrastructure. You'll only rack it up with like 20% of the GPUs initially. You commission it, learn about the facility and setup, then optimize it. I think they'll do 200 MW increments a quarter.

- *Why is there a gap between what it can scale to and what's been reported? When you're building an air-cooled datacenter, you're kind of locked and loaded on your maximum cooling capacity. When you're going liquid cooled, you're really only limited by the technology and the design of the direct liquid cooling at the rack level. It's kind of like you can fit more bread in the bread box, whereas with air cooling, it only fits one type of bread and you can't fit anymore. If you can go with a more efficient cooling system and go denser from a GPU perspective, that's good business.*
- *I'd say 70% of the energy consumption is GPU driven, meaning actual power consumption to the racks. The rest of it is the cooling piece, the MEP piece. If you have the power, you're not as constrained by cooling anymore because whatever the GPU density is per rack, you're going to have a cooling system that can handle the heat load from the rack. The key constraint is if you have enough power.*
- *I think Phase 1 will be fully online by late 2026. They're reevaluating Phase 2 because everyone is concerned about the cooling designs. Phase 2 they're talking about a 2027 or 2028 delivery. There's a lot of infighting between engineers in Microsoft and the design, construction and facility management guys. They're all wrapped around the axel.*
- *Engineers focused on the cooling are saying there's a new flavor of technology coming, so we might want to push this out. We want to look at these technologies. If we can believe some of this new chip cooling technology, we'll have more power available, which means we can go denser with GPUs, even more so than what Phase 1 is. These architectural design debates are everywhere, and it's not unique to Microsoft. Oracle is in a similar boat. But you also can't be mucking around trying to think about what's the latest, greatest technology.*

Partner 4

- *Wisconsin is currently still on target to go live early this year, probably the first half of this year. And then you're going to have the third building and the fourth, most likely 2028. In Wisconsin, Microsoft doesn't specifically say how many more buildings it will be, but they say more buildings are going to happen in Wisconsin. They are also already alluding that they will most likely add more buildings in other regions, but those are still in secrecy. I don't think anyone quite knows yet.*
- *I've heard that future builds will feature 3-story and 4-story buildings. Will that come to fruition? I don't know because in this industry there's a constant flow of ideas about how to tackle all of these things. We'll see if it actually happens or not.*
- *Each site will be about 1 GW, and the four buildings together across Atlanta and Wisconsin will be around 3.5 GW. The energy will already be available for that one building, but the challenge with all of these hyperscale datacenters is that Microsoft does not have access to all of the power that they need.*
- *Just repurposing that Foxconn site, I think it helped them a lot in accelerating this whole thing. Not only in terms of building permissions, but access to energy that was already there. I think it really helped them tremendously, and it's not something that we will be able to easily replicate in other situations. They might, but it's not going to be easy.*
- *Microsoft is going through testing and commissioning right now since their timeline is for early 2026. I'd say that if everything goes well and there are no hiccups, in August they should have everything online. But they could have challenges with the UPS systems, monitoring, a transformer could fail. It's unlikely because those are tested before they go on site, but there could still be issues.*
- *60% of the power needs of the overall datacenter go to the GPUs, and cooling overall represents around 30% of power consumption at the data center.*
- *Microsoft's architecture is ready for the Vera Rubin chips and has been ready now for a few months. They know exactly what they need to do. The liquid cooling companies have calls with Nvidia once a month or so just to talk about the innovation that Nvidia is doing. Obviously, there's a lot of confidentiality and NDAs signed, but it's so that liquid cooling suppliers can keep up with Nvidia. So the key players have been aware of what was going to happen for a while and things have*

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been developed in parallel.

On-Site Construction/Other Staff

- **Food Service:** *I was at the Fayetteville site in Atlanta, and I guess I did such a great job that they sent me up here to work on the plant. The activity here is crazy. I just got here last week, and we're going to be here until April. At that point Microsoft will bring in their own crew to make meals for everyone. You'd think it would slow down with the holidays coming up, but it isn't at all. I'm doing 2,000 meals per day, and they're bringing busloads of workers every day. All day it's just busload after busload of workers. It's on another level. This is a great opportunity to make jobs for people, while others are concerned about the environmental aspects. I've heard Microsoft is planning on building 2,500 sites over the next 10 years. The security here is insane. They're using AI powered cameras to watch people going in and out of the site. If you're not wearing a certain helmet and glasses, you're fired on the spot. There are multiple checkpoints. It's unlike anything I've ever seen before. They run a tight ship.*
- **Marriott/Hotel Workers:** *1. It's been busy for a while here because of the Microsoft project. Just look at the lobby right now. There are still a bunch of people from the project enjoying our happy hour, which ended an hour ago. It's packed because we have a ton of corporates from Microsoft coming in to visit the datacenter this week. I'd say 90% of our guests are corporate, and they'll be back in early January too. Like the first week. 2. I know it looks busy right now, but this is actually a little slow relative to what we're used to. We're hosting a bunch of Microsoft corporate meetings, so they're all here this week.*

Biggest Supply Constraints

Needless to say, the importance of these projects coming online on-time is such that we wanted to dedicate a section to cover the subject of supply constraints and the potential for delays. Oracle investors are intimately familiar with this, as the speculation of delays at the flagship Stargate datacenter in Abilene, Texas has impacted stock sentiment for several months now. Moreover, Microsoft itself has referred to its Azure guide as being a "supply guide" that is therefore heavily impacted by the timing of capacity go-lives, and leadership has historically been open about facing power constraints on earnings calls. As we highlight above, checks have told us that go-live timing for both the Atlanta and Wisconsin Fairwater sites remain on track for Phase 1, which is good news for Microsoft investors. But we also asked them about what they're seeing in terms of bottlenecks in the market and if we could see delays for Phase 2; we share the unvarnished feedback from those conversations below.

Partner 1

- *They're working on a solar plant in Portage County to try to get to 250 MW. We've talked to them a bit about solar over there, and we said look it just doesn't make sense. All of them want to be environmentally friendly, but those discussions have taken a back seat to speed. WE Energy is doing a good job on the power. There's been a lot of infrastructure prepayments that have been going forward, and Microsoft has never had a problem with the money. They also had carbon credits, so that helped.*
- *Microsoft is talking about getting to 3.3 or 3.5 GW, and there's no path there without the nuclear option. I personally don't think we get there. Fairwater and all of the rest of these sites will get through next year, but there's no way you get to the full 3.5 GW without the nuclear component. Trump is pro datacenter, pro energy and pro growth, but I personally don't think we get there. They're going to try to ram it and get some approved while Trump is in office, but I've told them that they're going to face heavy opposition because of smaller nuclear reactors. When you start putting in small nuclear reactors and John and Susie's hair is going to fall out, that's going to be a problem for the public. If someone asks me "what's the obstacle of Fairwater coming to full capacity?" It's the nuclear option.*
- *I say this because the direct chip cooling from Nvidia chips requires tremendous power. They're looking at natural gas turbines. Bloom is up there talking about their hydrogen cells. I still don't think they have the power totally figured out because you're talking about 3 GW. That's enough to power a couple of cities, but I do think they're well on their way.*

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- *Next year, that pie is already baked. Everybody's got their plan. We're already in 2027 for energy planning. How about ERCOT allowing on-site generation now? Our power landscape is changing and the rules are changing. But make no mistake as these rack densities go from 100 kV to 200, 300 kV. There is no pathway to AI without the nuclear component. We're going to get into years 2 and 3, what we think are years '28 and '29, and that's where it's really going to separate the pack.*
- *The differentiator beyond year two is going to be that nuclear piece. What you're seeing behind the scenes is that everyone is trying to get creative. The reality is that it's almost like a pond that is in the desert. It's continuing shrink. The only way out of that pond is nuclear, and everyone knows it because there are only so many natural gas sites and only so many turbines. I recently spoke to a datacenter supplier CEO, and he told me that they're already in the process of hooking their wagon to a nuclear provider. All of these conversations are being had behind the scenes.*
- *The constraint has always been equipment and it will always be equipment. I will tell you that lead times are holding kind of steady now, but I know all hell is getting ready to break loose in quarter 1 and 2 of 2026. I mean 80% of the datacenters in the U.S., the legacy data centers need some kind of power upgrade behind the meter. They need some kind of new lithium batteries and direct chip cooling units. Well, guess what? All of these things exist on these supercompute campuses, only times 2 on a bigger scale. The risk will always be the equipment. It will be the sheer volume of the renovation projects coming on that change the landscape.*
- *GCs are going to raise prices. Turner, Clayco, Suffolk, all those guys are moving their fees from 5% to 7%. Well, why? Because of the sheer demand. The GCs now are in demand like never before. When you see announcements from Turner saying they've doubled their business, I mean, think about that. So all the GCs now, all the equipment suppliers, everybody that has a widget in a data center. They're all increasing prices. I think we're going to see some big price increases as we get into quarters 1 and 2, and here's what I'll tell you. The datacenter folks, they don't care. They're just going to pass it on to the lease in the end. It's not the price increases they're worried about, it's the schedule.*
- *What we're seeing on all the mega projects across the country, the equipment is getting pushed out more and more. We are starting to see a labor shortage, but I will always be clear about it's qualified labor. What's happening now is the technology is far more complex. The days of just having an electrician or mechanical guy over there to mess with that stuff, those days are over. I've been writing new RFPs nonstop and things of that nature, where they're now requiring credentialed people as part of the award, meaning they want a professional engineer, electrical and mechanical.*
- *As we issue the service contracts, they are now going to require master electrician certifications. You want to have the best of the best, and what you're seeing with the hyperscalers and colocators and Oracle, everybody wants to transfer the risk. So what you're starting to see now with all this new technology and these systems, they're changing the maintenance service and warranty contracts to go to multi-year contracts and more scope of work.*
- *I've been on multiple OpEx budgets, and I'm seeing across the board an average of about 20%-25% cost increases year-over-year from last year to this year. Well, why is that? I'll give you an example. We would do quarterly inspections. They don't want them done quarterly anymore. They want them done every month, and it makes total sense if you think about it. Even in a new build where you're putting in tens of millions of dollars of equipment, equipment breaks, it leaks, it burns up.*
- *I get asked "what should we put in the capex budget?" I always tell them you better add 25%, and it's because we've already seen it y/y from 2024 to 2025. It's absolutely going to be the same, if not more, as we go into 2026 and 2027. The hyperscalers and colocators are getting ready to get hit with a massive price increase because the GCs are also raising their prices across the board. I was informed by them that the days of charging 5% are over. Well, they're going to be looking at 6% and 7% fees.*
- *I have smaller, new transformer companies coming to me every day saying how do I win work? I got this great transformer. What can I do? How do I get in? 2 years ago, these companies wouldn't even get an MSA. Now, some of these guys are*

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raising prices. For instance, MatX transformer has come on strong. They were in a bottom tier 2 or 3 years ago. I don't consider those guys a top-tier player. Well, now this player in the last 1.5 years has gained tremendous traction. And now you think this is a pretty cocky move. They raised their prices 20%. You just got heavy traction. You're getting more work. It didn't take long for them to figure, well, I might be able to get paid more money.

- *I think Phase 2 may get pushed into early 2028. I've seen too many times when we're pushing heavy schedules on these mega projects, we're going through commissioning. We go to a live load and boom, you just blew up a transformer. Well, guess what, you can't go to Home Depot and get one. So what I've been telling everybody, I'm like, listen, you better spend some money. And this has now happened in all the hot markets, all the hyperscalers and a lot of the colocators have been gobbling up warehouse space, bonded space and they're stockpiling. I'm stockpiling equipment for all the hyperscalers because he who has the equipment will get to the finish line.*

Partner 2

- *There's some hardware that's getting caught in the supply chain. It's 30-60 days behind, but I've also seen through experience that the 30-60 days can turn into 6 months in the snap of a finger, literally. Transformers are causing the delay, and they're the biggest pain in the butt right now. Equinix is also having issues with transformers too.*
- *Electrical, mechanical infrastructure are being delayed. They're facing labor issues. When you have skilled labor at a datacenter, it's the most valuable resource you can have. It's almost as valuable as the GPUs because the skilled datacenter labor knows what they're doing, and it's very difficult to find and maintain. They're moving people's families from other areas to where they're building so they can relocate and be together. These guys know what they're doing and have been doing it for 20 years.*
- *Supply constraints have gotten better recently over the last couple months, but it's still tight. Natural gas is playing a bigger role, and the reason for that is because there's not enough utility grid power in our country, so we can't build and procure fast enough. Gas turbines are backlogged 2 years, and fuel cells are becoming very popular. Fuel cells are going to play a very big role down the road in the next couple of years, and there are datacenters right now being designed 100% on fuel cell.*

Partner 3

- *Labor is a big bottleneck, and power is even bigger than labor. Power availability is the #1 pain in the butt for site selection, more so than anything else. Power is #1, and labor is #2. We're still having problems with electrical equipment. Transformers and switchgears still have long lead times. What we're seeing now is bigger customers are procuring this in advance of the project even, so they have forwards on that.*
- *I have heard that Microsoft is trying to fly families in, but you also can't really do that. You're trying to pay these guys to come to markets where they don't have coverage because there's no other work there besides the datacenter campus. Other markets like in Sunnyvale there are 500 trades people that are constantly working on every datacenter project.*
- *Think about the labor constraint this way. When you're building in these communities, they're smaller. They don't have a very robust university engineering infrastructure. They don't have a lot of strong trades people. The trades people that work there are baseline mechanical, electrical and plumbing subcontractors. They're not the Cupertino Electric or the crème de la crème that work on datacenters.*
- *The other bottleneck is there's pushback even when power is available. A lot of communities are looking around for renewable energy, and it's been an issue trying to find any forms of alternative energy, like geothermal or solar. Battery technology is lagging, and that's the bottleneck around renewables. We're just going to run into a situation where we're running out of power with conventional grid infrastructure. Everyone talks about nuclear, but it's probably close to 8-10 years away.*

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- *The other constraint is that everyone is trying to future-proof perfectly, so you're getting into this paralysis mode. Because of the new technology, chip architecture, cooling methodologies and requirements, that's paralyzing some decision-making.*

Partner 4

- *The Wisconsin grid doesn't have the power available for the remaining buildings yet. As part of their agreement with the Wisconsin authorities, Microsoft has prepaid local grid upgrades that the region is making for them so that they can frontload the capital to make sure they have sufficient capacity. So they have access for the one building, and now they have another 12-18 months for the next building and similar for the third.*
- *In terms of access to liquid cooling solutions or access to racks, switchgears or transformers, there hasn't been that much of a struggle to have access to those things. The big changes are happening now with the Vera Rubin, where the 800-volt architecture will most likely kick in and the liquid cooling solutions will most likely be a little different than today. Therefore, there is a risk of some of the supply chain being a little bit tight, but it doesn't seem to be a big challenge. Power is but not equipment.*
- *One challenge is that Fairwater will need roughly 100-150 miles of medium voltage underground cable. It's a lot. Usually for these companies there are longer lead times, and in these gear situations it can take 60-100 weeks to get them. That can be a challenge that you should watch.*

UBS Conclusions – What Did We Learn?

Let's now summarize all of the content above into a few key takes:

- **No Sign of Major Delays:** As noted, Microsoft has said that Fairwater Wisconsin should go live in early 2026 and Azure head Scott Guthrie said in mid-Nov that it should go live in "2-3 months", suggesting perhaps February. One key purpose of this project was to determine if there have been delays that would push that go-live timeframe out. Importantly, we did NOT pick up evidence of material delays. One partner told us that "it's full speed ahead right now with no slowdown in sight." Another partner noted that Microsoft has seen some power transformers "caught in the supply chain" that are 30-60 days behind, but they also said that it would not impact the Phase 1 go-live timeframe barring a material lengthening in cycle times. Another partner told us that Microsoft has been running into some problems during integrated systems testing, but "it's nothing catastrophic", and one partner warned of formal slowdowns during the winter months in Wisconsin. Bottom line, these struck us as normal construction delays, nothing dramatic.
- **Go-Live Ramp:** Similar to the other AI datacenter builds in Abilene and Indiana, we heard that bringing the data center online will be a ramped process. All partners confirmed that Fairwater Wisconsin would begin going live in early 2026 but what we want to know is the pacing. Although estimates varied, the consensus was to bring the data center online in 50 MW chunks, with 100 MW by the end of Feb, 200 MW by the end of March and 400 MW by the end of June, and 500 MW by the middle of the summer. The consensus was that Phase 1 would be complete/fully-ramped (to about 1 GW) by the end of 2026.
- **Ultimate Capacity:** While Microsoft has said that that the Fairwater in Wisconsin alone will scale to 2 GW, 2 GW for one GPU-dense datacenter building (even a multi-story one) sounds high to us based on our conversations. We're assuming that Phase 1 can scale to 1 GW. This is meaningfully above what local media has reported (max 400 MW for Phase 1), so we pressed our checks on why it could scale to 1 GW. One said that it was because the original plan was for 500 MW but "Microsoft discovered they could add more density and more power" and another highlighted that this was enabled by new direct chip cooling technology. We're assuming that the other 1 GW would come via Phase 2 and 3, which would roll out post-2026. Multiple partners shared that they didn't expect the Phase 2 build-out in Wisconsin to go live until at least 2028.

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- **Key Supply Constraints:** As we noted, our own visit to the site suggested that the outer Phase 1 buildings are basically done, with relatively smooth progress. That said, we did pick up signs of delays that could impact the Phase 2 timing. We heard issues related to 1. Equipment, especially power transformers and gas turbines ("backlogged 2 years"). 2. Power, as we heard "the Wisconsin grid doesn't have the power available for the remaining buildings yet" and "Microsoft is talking about getting to 3.3 or 3.5 GW, and there's no path there without the nuclear option." 3. Labor, particularly specialized data center labor.
- **Watch for Price Increases:** As with any supply/demand imbalance, partners shared that prices are increasing across the board. We heard that GCs are moving up their fees from 5% to 7% due to the sheer demand, and as one partner put it "All the GCs now, all the equipment suppliers, everybody that has a widget in a data center. They're all increasing prices." We heard that even younger, less established transformer companies are raising prices 20%. As a result, one partner is advising hyperscale clients to increase capex budgets, saying "you better add 25%, and it's because we've already seen it y/y from 2024 to 2025. It's absolutely going to be the same, if not more, as we go into 2026 and 2027." This could be another reason why capex outlooks could be moving up for 2026.
- **Multi-story buildings:** Multiple contractors told us that while the initial Fairwater buildings coming online will have 2-story data centers, Microsoft has site plans to build vertically that include 3- and 4-story data centers for future projects. If you look carefully at Figure 6 that we highlighted above, the first steel beams show a three-story building, and our checks confirmed that this is indeed the steel framing for one of the GPU buildings on the second site. This is exactly why we're going to these sites and seeing them for ourselves. One partner shared with us that Microsoft's plan to increase the number of floors per data center is smart because "it all comes down to if you've got the power, you're in a great place. There's a reason they went vertical. I would not be surprised to see them add another 5 GW to that project on top of the 2 GW they've already talked about."

Data Center Leadership Exits

Microsoft has had three key executives that oversee the AI infrastructure buildout leave the company in just the last two months. These exits included Nidhi Chappell (Microsoft's Head of AI infrastructure, left to join Nscale), Sean James (Senior Director of Energy and Datacenter Research, left to go to Nvidia) and most recently Jennifer Weitzel, who led the Engineering, Procurement and Construction Group and oversaw AI datacenter development. These exits understandably raised eyebrows across the industry, especially as pressure continues to build on hyperscalers to deliver this critical compute capacity on-time for their model provider customers. We asked our checks about what they're hearing on the exits, and one partner told us "they're getting poached by neo-clouds, and the amount of equity and money being offered… I mean it's just ridiculous amounts of money, so you can't say no." This partner also noted that "they backfilled everybody with great people." While it's concerning to lose three leaders in such a short timeframe, we're not reading too much into it. Microsoft likely has a deep bench and the explanation behind the exits could be as simple as they were extended offers they couldn't refuse given the premium for AI talent today.

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Fairwater Atlanta and Other GPU Capacity

As noted, Microsoft's CEO has said that they plan to "roughly double our total data center footprint over the next two years". Of course we don't know what GWs of capacity that Microsoft has as its starting point, but the Fairwater Wisconsin build should be seen in the context of being one component, albeit a key one, of Microsoft's broader build-out effort. The other capacity additions that we're closely monitoring are Fairwater Atlanta as well as the capacity that third-party partners are adding. Let's look at both.

Fairwater 2 - Atlanta

The focus of this note has been on Fairwater 1 in Mount Pleasant, but the Fairwater 2 data center in Atlanta, which shares the same architecture and design, actually began operations in October. Absent a site visit, we leveraged our UBS Evidence Lab data team to secure satellite images (see Figure 7 below) to help us evaluate the progress. Similar to the prior satellite image of Fairwater 1 in Figure 4, the image of Atlanta also shows the main buildings of the datacenter as complete. This syncs with Microsoft's comments that it's already live and the earlier comment we highlighted from Scott Guthrie that "[Fairwater is] real production now. OpenAI is using it for a bunch of workloads already." Our conclusion from these images is that the exterior of the datacenter is complete and the only steps left are to continue to deploy, commission and active the GPU racks.

Figure 7: Fairwater Atlanta in Mid-January 2026



Source: UBS Evidence Lab

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What We Heard About Atlanta

We also pressed our checks on how the go-live trajectory in Atlanta is progressing, and they shared that it's going even better than Wisconsin with a more aggressive ramp schedule. We share the feedback from our checks below.

- **Partner 1:***The ramp in Atlanta is going to be better than Wisconsin. It's going to be better because think about who your power supplier is down there at Georgia Power. You got the nuclear plants, you got everything, and I do a lot with Georgia Power. The site came online before Wisconsin, and Georgia Power played an intricate role in that. It's going to be much more aggressive because they've got their act together down there. I rate the project down in Atlanta far better than I do the one in Wisconsin. I think it's a better team, it's better land, and I think the results speak for themselves. Georgia Power is also allowing us now to build our own substations, which was unheard of before. They realize that in certain parts of Georgia, it's a rural setting and doing on-site power is better. Microsoft has what I think is an over-aggressive ramp up schedule. Can it be done? Yes it can be done. But I think it's a little too aggressive. I think they'll have 200 MW online by the end of December, 400 MW by the end of March and 600 MW by the end of June. That's the ramp up. It's aggressive, but I think they can do it.*
- **Partner 2:** *Microsoft's Fairwater in Atlanta is trending well. It's a fairly AI-only based datacenter and their PUE is amazing. It's going to be amazing there.*
- **Partner 4:***The Fairwater site in Atlanta is already live since Q4 of 2025. I think it was October or November that it kind of came live, and the plan for Microsoft is to add 1 building per year. I think by March 70% or so of Atlanta should be live already. If everything goes according to plan, it will probably all be live by May or June. It's almost a copycat of the one in Wisconsin. They are very much the same.*

Third-Party Capacity Additions

Unlike rival Amazon, Microsoft has attempted to close the supply-demand imbalance by making extensive use of 3P GPU cloud infrastructure providers, notably CoreWeave but also Nebius, Nscale, Lambda Labs and IREN. The success of these partners in standing up capacity for Microsoft, to supplement 1P Fairwater capacity, is also a key input to Azure revenue growth in 2026. In Figure 8 below, we lay out what these partners have said about the state of their capacity additions for Microsoft. It's very tough to estimate 3P capacity additions, but our best guess is that the 3P partners combined may be able to add 300 MW of GPU capacity for Microsoft by the end of June 2026 and 850 MW by the end of calendar 2026.

Figure 8: Third-Party Partner Capacity

Partner	Description
CoreWeave	CoreWeave said on its November earnings call that a) they have 1 GW+ of capacity available to be sold to customers that will come online in the next 12-24 months and b) substantially all of the 2.9 GW it had contracted will be online by year-end 2027. We pressed CoreWeave on the Microsoft ramp and heard: *"We typically sell capacity that starts within 12 months of contract – so probably fair for you to assume anything you're aware of that we've signed is either active or will likely begin to be delivered at some point this year."* Microsoft represented 67% of CoreWeave revs in F3Q ($900m+ annualized) and CoreWeave also said "no single customer represents more than ~35% of our [$55.6 billion] revenue backlog."35% of the $55.6bn equates to ~$19 billion from Mircrosoft, which assuming a 5 -year duration (consistent with prior announcements) implies ~$4 billion in annual revs and 400 MW of capacity coming online this year.
Nebius	In September 2025, Microsoft signed a $17.4 billion deal with Nebius through 2031, which will deliver dedicated capacity from Nebius's new Vineland datacenter in New Jersey (300 MW initial, can scale to 400 - 700 MW). 200 MW of the New Jersey facility were under construction as of 2Q25 with "a good part" of that expected to be available by the end of this year. On the latest earnings call, Nebius said: *"Microsoft contract will not have a material effect on our revenue and ARR in 2025, as the first tranche was just delivered. All of our remaining tranches will be delivered in 2026, with more than half of them during the second half. So we actually expect revenue to ramp up over the course of the year. Starting in 2027, we will begin to recognize the full annual revenue run rate of this, the Microsoft deal. "* Nebius has also guided to 100 MW of active power by the end of 2025 (as of 2Q25) and 800 MW to 1 GW in fully built datacenters by the end of 2026.
Nscale	In October 2025, Microsoft signed a deal with Nscale to deliver 104k GB300s in a ~240 MW AI campus in Texas, with the phased delivery starting in Q3 2026. Nscale plans to scale it to 1.2 GW over time, and Microsoft holds an option on a second phase of 700 MW starting in late 2027. Nscale will also deliver to Microsoft a) 12.6k GB300s at its Sines, Portugal campus starting in 1Q26 (MW N/A), b) ~23k GB300 GPUs in its 50 MW UK facility (scalable to 90 MW) starting in 1Q27 and c) 52k GB300s from its campus in Narvik Norway (MW N/A). If you assume a similar ratio of MW per GB300s, that would imply another 100+ MW from the Portugal and Norway campuses once online.
IREN	Microsoft signed a 5-year $9.7 billion deal with IREN in November 2025 to deliver large scale GPU clusters. The GPUs will collectively provide 200 MW of critical IT load and will be deployed in four phases (Horizon 1-4) throughout 2026 at IREN's 750 MW datacenter campus in Childress, Texas. IREN said on the latest earnings call that they are "accelerating the construction of Horizons 1-4" to accomodate the phased delivery for Microsoft, and each phase is for 19k GB300s. IREN said in August 2025 that Horizon 1 is on schedule for 4Q25 and "we've commenced early works and long lead procurement for Horizon 2," but has not commented recently on the specific Horizon 2-4 completion expectations.
Lambda Labs	Microsoft signed a "multi-billion dollar, multi-year" agreement to deploy AI infrastructure powered by "tens of thousands of "GPUs, including GB300s.

Source: Company press releases and commentary, UBS

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Impact on Azure Growth and Capex

Let's now turn to the impact of the Fairwater roll-out on Microsoft's financials.

Key Assumptions

- **OpenAI vs 1P Capacity:** At least initially, it appears as if the bulk (if not all) of the initial Fairwater GPU capacity in Atlanta and Wisconsin will be targeted to OpenAI. What we don't know is how much of the capacity might be directed to training jobs for Microsoft's own/1P model development. Given our view that Microsoft's 1P efforts are more niche and "off-frontier", we're assuming relatively little and that the bulk of capacity is going to serve OpenAI. OpenAI recently said that it has access to 1.9 GW of compute capacity at year-end 2025, up from 0.6 GW at year-end 2024, for incremental capacity of 1.3 GW in 2025. In our view a good portion of this must have come from a combination of material new GPU capacity delivered by Microsoft (via Fairwater Atlanta) and Oracle (via Abilene) in 4Q25.
- **Go-Live Ramp:** As we conclude above, our checks confirmed that Fairwater Atlanta went live in October and that Fairwater Wisconsin would begin going live in early 2026. Although estimates varied, the consensus was that the Wisconsin site could reach 100 MW of capacity online by the end of Feb, 200 MW by the end of March and 400 MW by the end of June, and 500 MW by the middle of the summer. The consensus was that Phase 1 would be complete/fully-ramped (to about 1 GW) by the end of 2026. We also noted above that one check concluded that in Atlanta, "I think they'll have 200 MW online by the end of December, 400 MW by the end of March and 600 MW by the end of June". The combined Atlanta and Wisconsin capacity additions could therefore be 200 MW by the end of Dec 2025 (all in Atlanta), 600 MW by the end of March 2026 and 1 GW by the end of June. As noted below, we are haircutting this timeline just to be safe, but this is our starting point.
- **OpenAI Use of Atlanta in Nov/Dec:** Microsoft has said that the new $250 billion OpenAI deal will convert to Azure revenues very quickly, in their 2Q/Dec 2025 quarter. In our view this would only be the case if OpenAI began leveraging Fairwater Atlanta (which went live in Oct) in the Oct-Dec period. Although Microsoft would have had line of sight to this Atlanta capacity coming on-line when it guided to 2Q/Dec Azure growth in late-Oct, this could prove to be a source of Azure upside if Atlanta capacity ramped faster than expected. This is consistent with OpenAI's messaging about targeting a model iteration (GPT-5.3? GPT-6?) in "1Q", which we don't believe would be possible without OpenAI already leveraging new Fairwater Atlanta GPU capacity.
- **OpenAI Training Revs Rec:** Throughout 2024, Microsoft was clear that OpenA's spend on Azure for model training was NOT recognized in Microsoft's financials. Rather, it was recognized under the equity method of accounting as part of the $13 billion OpenAI funding commitment. Microsoft has messaged that the accounting treatment of OpenAI training spend is a function of the terms of the Microsoft-OpenAI contracts (it is contract-specific) and that OpenAI and Microsoft agreed to new contract terms in early 2025 (around the time of the Stargate announcements) and of course more recently in the $250 billion commit. We conclude that the "new" deals commencing with the early-2025 OpenAI commitments did indeed allow for the recognition of OpenAI training revs in Azure. This is important given that the Fairwater campuses in Wisconsin and Atlanta have very large OpenAI training workload mixes.
- **$10 Billion per 1 GW:** To calculate the potential revenue uplift to Microsoft, our key assumption is that 1 GW in power capacity online equates to $10 billion in annualized revs to Microsoft, which is consistent with what Oracle and other AI datacenter peers have spoken to over the last several months. One can stress-test this assumption by assuming that 1 GW equates to 400,000 GB200 chips, with a list per-hour price of $4.50 and an assumed 40% discount to OpenAI. These assumptions result in an estimate of $9.5bn per 1 GW of power capacity.

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Fairwater's Impact on Azure Revenues

We outline the potential lift to Azure revs in Figure 9 below, and as noted we're haircutting the Fairwater go-live timeframe by 20% to be safe. We estimate a potential $200 million lift to Azure revs in 2Q/Dec from Fairwater Atlanta coming on-line, with another incremental $600 million in 3Q/Mar and a full $800 million in additional Azure revs in 4Q/Jun as both Fairwater Atlanta and Wisconsin will be steep in their ramp trajectories.

Figure 9: Potential Fairwater Uplift Ramp Impact

Fairwater Uplift Math	3QA Mar-25	4QA Jun-25	1QA Sep-25	2QE Dec-25	3QE Mar-26	4QE Jun-26	1QE Sep-26	2QE Dec-26
Azure Revenue	**19,390**	**21,661**	**23,429**	**25,210**	**27,173**	**29,929**	**32,242**	**34,448**
% Y/Y	33.1%	39.2%	39.7%	41.1%	40.1%	38.2%	37.6%	36.6%
% Y/Y CC	35.0%	39.0%	39.0%	39.1%	37.6%	35.4%	38.0%	36.6%
Sequential $ growth	1,526	2,271	1,768	1,781	1,962	2,756	2,313	2,206
Full Speed Go-Live								
FW Wisconsin MW Live				0	200	400	600	800
FW Atlanta MW Live				200	400	600	800	1,000
Total FW MW Live				**200**	**600**	**1,000**	**1,400**	**1,800**
Base Case - 80% of MW Go Live on Time								
FW Wisconsin MW Live				0	160	320	480	640
FW Atlanta MW Live				160	320	480	640	800
Total FW MW Live				**160**	**480**	**800**	**1,120**	**1,440**
Quarterly Avg MW Live								
FW Wisconsin				0	80	240	400	560
FW Atlanta				80	240	400	560	720
Total				**80**	**320**	**640**	**960**	**1,280**
Assumption: 1 GW = $10 Billion Annualized Revs (using Avg MW)								
FW Wisconsin Annualized Revs				0	800	2,400	4,000	5,600
FW Atlanta Annualized Revs				800	2,400	4,000	5,600	7,200
Total FW Annualized Revs				**800**	**3,200**	**6,400**	**9,600**	**12,800**
Quarterly Revenue (ARR/4)								
FW Wisconsin Revs				0	200	600	1,000	1,400
FW Atlanta Revs				200	600	1,000	1,400	1,800
Total FW Revenue				**200**	**800**	**1,600**	**2,400**	**3,200**
$ Sequential FW Revs Added					600	800	800	800

Source: UBSe

Our Azure Estimates Appear Too Low

In Figure 9 above, we outlined our c/c Azure revs growth estimates post the last 1Q/Sept earnings print and ahead of this Fairwater project. For 2Q/Dec, Microsoft guided to a 2-point deceleration to 37% growth and in our view the consensus investor outlook is for a 2-point beat to 39%. To reach 39% revs growth in 2Q/Dec, Azure would have to post sequential dollar growth of $1.78 billion, roughly in-line with the previous quarter and down from the high of $2.27 billion in sequential revs in 4Q/Jun. But as noted above, if Fairwater Atlanta alone could add $200 million in incremental revs in 2Q/Dec, then the consensus view that Azure would add a total of $1.78 billion in sequential revs in 2Q/Dec (to get to 39%) appears very doable, especially given that core (CPU-based) enterprise demand appears to be very healthy, as we argued in our demand-side Cloud Preview note just the other day (see report here). Of course Microsoft would have had line of site to Atlanta ramping at the time it set its 2Q/Dec guidance, but this was when Atlanta was JUST ramping, and Microsoft could have taken a relatively conservative view of Atlanta's revs contribution in its first quarter live. Bottom line, this analysis makes us feel more confident that 39% c/c Azure growth is doable in 2Q/Dec.

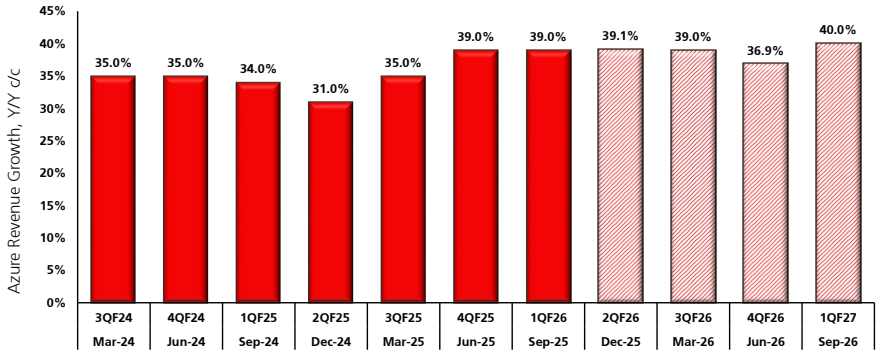
From a base of 39% c/c Azure growth in 2Q/Dec, we were modeling a modest deceleration to 38% in 3Q/Mar and then 35% in 4Q/Jun. As noted above, our estimate for c/c Azure growth of 35% in 4Q/Jun assumes an already very healthy $2.75 billion of sequential dollar adds, up materially from the year-ago June quarter (which if readers recall was a very strong quarter, hence a tough comp). But if the 1P capacity from the two Fairwater sites results in anything close to a sequential revenue dollar lift of $600 million in 3Q/Mar and $800 million in 4Q/Jun, and if on top of this Microsoft's 3P partners deliver anything close to an added 300 MW of incremental capacity by the end of 4Q/Jun, then our Azure estimates for the 3Q/Mar and 4Q/Jun quarters appear to have upside risk. Put another way, ex-Fairwater sequential Azure growth would have to be DOWN y/y in 4Q/Jun in order to get to reported c/c Azure revs growth of 35%. Given the health of core enterprise demand, that now seems a shade too conservative to us. As

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such, based on this analysis, we are raising our c/c Azure estimates in 3Q/Mar from 38% to 39%, in 4Q/Jun from 35% to 37% and in 1Q/Sept from 38% to 40%. An Azure revs growth rate inching to ~40% over the next few quarters is also consistent with Microsoft doubling capacity over the next two years.

See our revised c/c Azure revs growth estimates below.

Figure 10: Revised UBS c/c Azure Growth Estimates

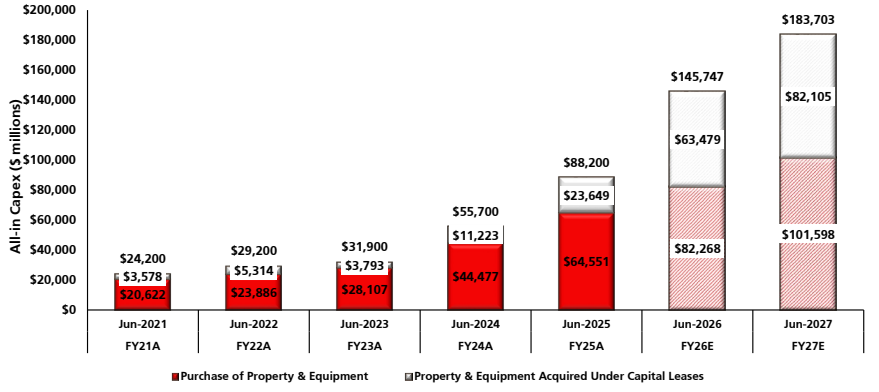


Source: Company filings, UBSe

Capex Estimates Are Biased Up

In its latest 1Q/Sept quarter, Microsoft posted total (PP&E plus capital leases) capex of $34.9 billion or an annualized capex level of $140 billion. The company guided to a sequential increase in capex in the 2Q/Dec quarter and hence we're modeling capex of $36.6 billion, getting to our full year FY26 capex estimate of $146 billion as we show in Figure 11 below. For FY27, we're assuming more modest capex growth of 25%, down sharply from 60-75% total capex growth in each of the three previous fiscal years. But if Microsoft is indeed sitting right in front of material AI infrastructure capacity go-lives throughout 2026, requiring GPU shipments just months ahead of "warm shells" coming on-line, then our 25% capex growth estimate for FY27 (which we're leaving unchanged given that we are days away from Microsoft's 2Q/Dec print) now feels very conservative.

Figure 11: Microsoft's All-In Capex



Source: Company filings, UBSe

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A GM Impact from Added GPU Capacity

A key bear case across the entire AI infrastructure ecosystem remains the fear that while GWs of GPU compute power will convert to material revenue uplifts, the corresponding impact to operating income and EPS will be muted since these dollars are lower margin. Microsoft has argued that over time, GPU infrastructure profitability will ramp, just as it did in the CPU infra era, but it's clear that the initial impact on GMs is negative as lower-GM Fairwater capacity rolls into Microsoft's P&L. As we illustrate in Figure 12 below, we already model this dynamic, as our current EPS estimates bake in the assumption that Azure GMs decline, to 53-54% in FY26, and may decline further going forward. The ramp of the Fairwater sites serves to strengthen our conviction that this will continue to play out.

Figure 12: Potential Fairwater Margin Impact at Full Capacity

	FY23	FY24	FY25	FY26E
Azure Revenue	$42,281	$56,377	$75,689	$106,339
Azure Revs ex AI	$41,150	$51,462	$62,149	$75,830
Azure AI Revs	$1,132	$4,915	$13,540	$30,509
Azure Gross Profit	$25,306	$33,370	$42,830	$57,282
Azure GM	59.9%	59.2%	56.6%	53.9%
Ex-AI Gross Profit	$24,690	$31,392	$38,222	$47,015
Ex-AI Gross Margin	60.0%	61.0%	61.5%	62.0%
AI Gross Profit	$616	$1,978	$4,608	$10,267
AI Gross Margin	54.5%	40.2%	34.0%	33.7%

Source: UBSe

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Closing Thoughts on Microsoft Shares

As noted below, Microsoft shares trade at CY26E multiples of 38x FCF, 25x GAAP EPS and 22x non-GAAP EPS. The FCF multiple represents a material premium to the broader peer group, in large part because of the heavy capex investment phase. In our view, Microsoft shares deserve an EPS and FCF multiple premium based on the emerging AI opportunity and the company's strong execution. At 22x non-GAAP EPS, the stock, in our view, still trades at a reasonable multiple relative to peers, especially given non-GAAP EPS growth of 20- 25%. If Azure can sustain high-30%/low-40% growth and margins remain stable or up, then the valuation multiples appear compelling.

Figure 13: Peer Group Valuation

		Stock Price	% Change	Market	Revenue Growth			EV/FCF		P/E	
Company	Ticker	1/21/2026	YTD	Cap ($M)	MRQ	CY26E	CY27E	CY26E	CY27E	CY26E	CY27E
Oracle Corporation	ORCL	$173.88	(11%)	$508,077	14.2%	23.6%	34.2%	NM	NM	25.2x	21.2x
Alphabet Inc.	GOOGL	$328.38	5%	$4,009,600	15.9%	14.2%	13.2%	55.5x	43.0x	27.2x	23.5x
Amazon.com, Inc.	AMZN	$231.31	0%	$2,509,122	13.4%	11.4%	11.2%	62.9x	39.9x	26.5x	21.8x
Microsoft Corp.	MSFT	$444.11	(8%)	$3,315,725	18.4%	16.7%	16.4%	37.8x	35.0x	24.7x	21.4x
SAP SE	SAP	€225.10	8%	€263,769	7.2%	10.2%	12.4%	27.3x	23.5x	33.0x	27.7x
ServiceNow, Inc.	NOW	$125.30	(18%)	$131,509	21.8%	19.0%	18.5%	23.3x	19.1x	29.8x	24.7x
Autodesk, Inc.	ADSK	$257.44	(13%)	$55,350	18.0%	10.5%	9.9%	21.9x	19.1x	22.2x	19.6x
Intuit, Inc.	INTU	$524.92	(21%)	$147,503	18.3%	11.5%	11.0%	20.4x	18.2x	21.5x	19.6x
Atlassian Corp.	TEAM	$122.41	(25%)	$32,355	20.6%	22.7%	19.8%	15.0x	13.0x	22.8x	19.6x
Salesforce, Inc.	CRM	$221.58	(16%)	$210,944	8.6%	11.5%	11.0%	12.9x	11.6x	16.4x	14.0x
Workday, Inc.	WDAY	$183.41	(15%)	$49,269	12.6%	11.9%	10.8%	13.7x	11.0x	16.8x	14.1x
Adobe, Inc.	ADBE	$294.23	(16%)	$122,723	10.5%	9.7%	9.3%	11.7x	10.7x	12.4x	10.9x
Mean:			**-12%**		**14.7%**	**14.2%**	**14.7%**	**26.0x**	**17.0x**	**22.6x**	**19.3x**
Median:			**-15%**		**14.2%**	**11.5%**	**11.2%**	**21.1x**	**18.2x**	**22.8x**	**19.6x**

Source: FactSet, UBSe, Visible Alpha

UBS Bottom Line

Needless to say, Microsoft shares have been frustrating for investors, +4% over the last 12 months and under-performing the +14% gain in the S&P 500 index, the +30% gain in Nvidia shares and the +66% rally in Google shares over the same period, despite Microsoft being very well-positioned both in its core business and in the fast-growing market for GPU/AI infrastructure services. Part of this stems from Microsoft's high concentration with OpenAI, persistent supply constraints that are throttling Azure growth as well as a growing concern that Microsoft is not adequately AI-enabling its own productivity software suite in a way that is bending the growth curve for the core M365/Office 365 franchise.

Does it even matter if Azure growth upsides into the low-40% zip code? Some investors have argued that it may not, if a) these other concerns persist and b) if everyone is already loosely anticipating that the Fairwater ramps will lift Azure growth. We might push back on this view and argue that while most investors are well aware of the large 1P capacity unlock coming in the next few quarters, Microsoft itself has not offered any real guidance on the timing and magnitude of this lift, and instead has said that Azure growth will be held back by supply constraints through the end of the fiscal year. But based on this project, we conclude that Microsoft is likely being quite conservative and in fact we could be sitting right in front of a material Azure revs unlock as 1P and 3P GPU capacity comes online throughout 2026. If this materially raises the probability that Azure growth could accelerate into the low-40% range and the core productivity suite remains stable, then at this valuation level and with this backdrop of mixed investor sentiment, we conclude that the risk-reward on Microsoft skews positive.

We remain Buy-rated but given the evident de-rating across the software sector, we're trimming our PT from $650 to $600, based on an assumed CY27E FCF multiple of 47x (from 50x), a deserved premium to the peer group.

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This report leverages the following UBS Evidence Lab asset: Fairwater Datacenter Construction Monitor. UBS Evidence Lab leverages various satellite imagery products. Satellite data is collected quarterly for a designated Area of Interest. The satellite images are selected for their absence of cloud / haze. Additionally, atmospheric correction is applied to increase the clarity / readability of the maps.

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Forecast returns

Forecast price appreciation	33.1%
Forecast dividend yield	0.8%
Forecast stock return	33.9%
Market return assumption	8.6%
Forecast excess return	25.4%

Company Description

Founded in 1975, Microsoft is the world's largest software company, generating over $200bn in annual revenue in fiscal 2023. Operating in over 190 countries, the company is a market leader across numerous software categories, with core solutions including cloud computing infrastructure (Azure), productivity applications (Office and Office 365), operating systems (Windows), business applications (Dynamics), internet services (LinkedIn, Bing), database software (SQL Server), gaming (Xbox), devices (Surface), and other products and services addressing enterprise and consumer technology markets.

Valuation Method and Risk Statement

We value Microsoft on a relative EV/FCF multiple on CY27 estimates. Key risks for Microsoft include the IT spending environment, the pace of decline in legacy businesses relative to growth in newer Cloud-centric businesses, the required capex investment needed to build Cloud datacenters, competitive pressure from Cloud-native leaders like Amazon and Google, and legal and regulatory risk given Microsoft's dominant position in PC operating systems and productivity applications. Microsoft operates in the technology industry which also sees rapid change and innovation, and the company's market opportunity could change rapidly if technology and demand preferences shift in an unanticipated direction.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Microsoft Corp.

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	52%	24%
Neutral	FSR is between -6% and 6% of the MRA.	41%	22%
Sell	FSR is > 6% below the MRA.	7%	25%
Short-Term Rating	**Definition**	**Coverage[3]**	**IB Services[4]**
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2025.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.
3:Percentage of companies under coverage globally within the Short-Term rating category.
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Company Name	Reuters	12-month rating	Price	Price date
Microsoft Corp.[13,4,16,28,7,8,6a,6b,6c]	MSFT.O	Buy	US$444.11	21 Jan 2026

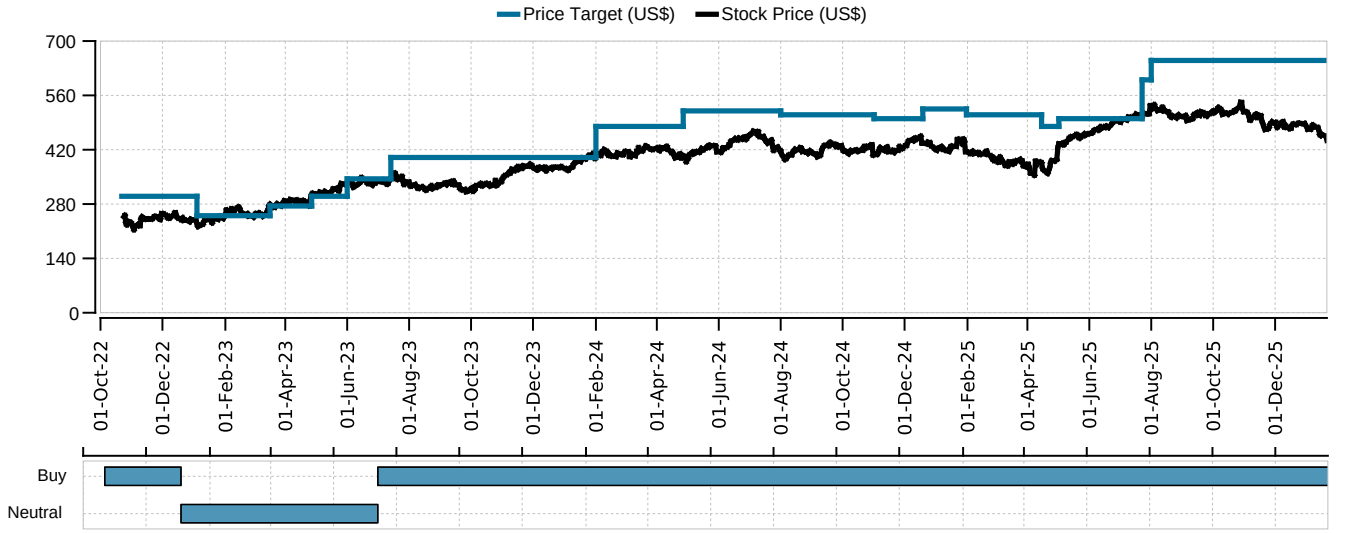
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Microsoft Corp. (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2022-10-21	242.12	300.00	Buy
2023-01-03	239.58	250.00	Neutral
2023-03-16	276.20	275.00	Neutral
2023-04-26	295.37	300.00	Neutral
2023-05-31	328.39	345.00	Neutral
2023-07-13	342.66	400.00	Buy
2024-01-31	397.58	480.00	Buy
2024-04-26	406.32	520.00	Buy
2024-07-31	418.35	510.00	Buy
2024-10-31	406.35	500.00	Buy
2024-12-18	437.39	525.00	Buy
2025-01-30	414.99	510.00	Buy
2025-04-14	387.81	480.00	Buy
2025-05-01	425.40	500.00	Buy
2025-07-22	505.27	600.00	Buy
2025-07-31	533.50	650.00	Buy

Source: UBS Global Research; LSEG Eikon as of 21-Jan-2026. All prices as of local market close. Ratings as of date shown.

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